

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

USL AUTO EXPORTING INC., *Complainant*

v.

EASY SHIPPING CORPORATION, *Respondent*.

DOCKET NO. 23-13

Served: January 30, 2025

ORDER OF: Mary A. HERVEY, *Administrative Law Judge*.

ORDER DISCHARGING SHOW CAUSE ORDER AND SETTING NEW DEADLINE

By order served January 8, 2025, Respondent Easy Shipping Corporation (“Easy Shipping”) was directed to show cause by January 24, 2025, why a default shall not be entered against it for failure to respond to Complainant USL Auto Exporting, Inc.’s (“USL”) renewed motion for summary judgment and why default judgment should not be entered against it for failure to file its brief, findings of fact, appendix, and response to findings of fact in accordance with the Scheduling Order served March 18, 2024. Order to Show Cause at 2. On January 24, 2025, Easy Shipping filed both a response to the show cause order and a response to USL’s renewed motion for summary judgment. For the reasons set forth below, the order to show cause is discharged and a new deadline of February 3, 2025, is set for Easy Shipping to file its brief, proposed findings of fact, appendix, and response to USL’s proposed findings of fact.

A. Relevant Procedural History

The Scheduling Order served March 18, 2024, directed Easy Shipping to file a brief, proposed findings of fact, appendix, and response to USL’s proposed findings of fact by July 24, 2024. A review of the record shows that Easy Shipping has not filed any of these documents despite that its failure to adhere to scheduling deadlines was addressed in prior orders issued in this proceeding. In the January 29, 2024, Order Granting Motion for Judicial Assistance and Setting Deadlines, Judge Chintella determined that Easy Shipping had failed to file the joint status report due January 5, 2024, and had not filed the response to USL’s motion for summary judgment due January 22, 2024. In addressing these deficiencies, Judge Chintella established new deadlines and stated: “Commission Rule 65 provides that a party may be deemed in default if the party fails to ‘answer, to respond to a dispositive motion within the time provided, or otherwise to defend the proceeding.’ 46 C.F.R. § 502.65(a)(2).” Judge Chintella also included the following warning in the order: “Easy Shipping’s failure to abide by these deadlines may result in entry of default judgment against Easy Shipping without further notice.” Order Granting Motion for Judicial Assistance and Setting Deadlines at 1.

Despite this explicit warning, Easy Shipping's noncompliance continued. On May 24, 2024, in the order denying USL's motion to compel Judge Chintella found that Easy Shipping had failed to respond to discovery or USL's motion to compel and that it was "part of a pattern of failure to defend the proceeding." The order noted that that Easy Shipping had not responded to USL's renewed motion for summary judgment despite the earlier order warning that sanctions may result from any further failure to comply with Commission rules or Judge Chintella's orders. The order made clear that further non-compliance could result in the imposition of sanctions. In this regard, the order stated: "On March 13, 2024, I held a status conference where I advised both parties of the need to familiarize themselves with the Commission's rules and the initial order. At that conference, I advised the parties again that 'any further failure to comply with Commission rules or my orders may result in adverse inferences, default, or dismissal.' See Memorandum Order Denying Complainant's Motion for Default Judgment (Mar. 18, 2024)." Order to Show Cause and Denying Motion to Compel Without Prejudice at 2.

By order served January 8, 2025, Respondent Easy Shipping Corporation ("Easy Shipping") was directed to show cause by January 24, 2025, why a default shall not be entered against it for failure to respond to Complainant USL Auto Exporting, Inc.'s ("USL") renewed motion for summary judgment and why default judgment should not be entered against it for failure to file its brief, findings of fact, appendix, and response to findings of fact in accordance with the Scheduling Order served March 18, 2024. Order to Show Cause at 2. On January 24, 2025, Easy Shipping filed both a response to the show cause order and a response to USL's renewed motion for summary judgment.

B. Applicable Law

46 U.S.C. § 502.65(a)(2) provides that a party to a proceeding may be deemed to be in default if that party fails to respond to a dispositive motion within the time provided. Pursuant to 46 U.S.C. § 502.70(b), a response to a dispositive motion is due 15 days after service of the motion. Thus, Easy Shipping's response to USL's renewed summary judgment motion served March 25, 2024, was due April 9, 2024. A review of the record shows that no response was filed until January 24, 2025, when USL responded to the show cause order issued January 8, 2025, and simultaneously filed a response to the renewed motion for summary judgment.

Additionally, Fed. R. Civ. P. 16(f)(1)(C), applicable to this proceeding pursuant to 46 U.S.C. § 502.12, provides that a court may impose sanctions authorized by Rule 37(b)(2)(A)(ii)-(vii) if a party fails to obey a scheduling or other pretrial order. Pursuant to Rule 37(b)(2)(A)(vi), the authorized sanctions include rendering a default judgment against a disobedient party. Thus, default judgment is an appropriate sanction to impose against Easy Shipping for its failure to comply with the deadlines in the March 18, 2024, scheduling order requiring it to file a brief, findings of fact, appendix and response to findings of fact by July 24, 2024.

In general, in the context of scheduling deadlines under Fed. R. Civ. P. 16, applicable here pursuant to 46 C.F.R. § 502.12, the standard for "good cause" is the diligence demonstrated by the moving party in attempting to meet the Court's deadlines. *Colorado Visionary Acad. v. Medtronic, Inc.*, 194 F.R.D. 684, 687 (D. Colo. 2000). To show good cause, a party "must provide an adequate explanation for any delay" in meeting the scheduling order's deadline. *Lehman Bros. Holdings Inc. v. Universal Am. Mortg. Co., LLC*, 300 F.R.D. 678, 681 (D. Colo.

2014); *Minter v. Prime Equipment Co.*, 451 F.3d 1996, 1205 n.4 (10th Cir. 2006). In practice, this standard requires the movant to show the scheduling deadlines cannot be met despite the movant's diligent efforts. *Gorsuch, Ltd., B.C. v. Wells Fargo Nat'l Bank Ass'n*, 771 F.3d 1230, 1240 (10th Cir. 2014).

The weight of authority holds that good cause requires a showing of some degree of excusable neglect. *Anderson v. City of Dallas, Tex.*, 210 F.R.D. 579, 581 (N.D. Tex. 2002). Mere inadvertence, carelessness, or attorney error is usually insufficient to constitute good cause. *Banks v. City of Philadelphia*, 309 F.R.D. 287, 290 (E.D. Pa. 2015); *Cincinnati Ins. Co. v. CMH Manufacturing, Inc.*, 2017 WL 10311419, at *8 (D.N.D. May 31, 2017); *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 609 (9th Cir. 1992); *Bowen v. Time Warner Entertainment*, 2011 WL 251108, at *4 (N.D. Ohio Jan. 25, 2011).

At the same time, there is authority for the proposition that rigid adherence to the scheduling order is not advisable. *Sil-Flo, Inc. v. SHFC, Inc.*, 917 F.2d 1507, 1519 (10th Cir. 1990). Courts have found inadvertence to constitute good cause when other factors are present such as the absence of harm to the opposing party or delay of the proceedings. *Monroe v. City of Hoboken*, 2012 WL 1191177, at *6 (D.N.J. April 10, 2012). Moreover, some courts have avoided a bright line rule in recognizing that inadvertence does not constitute good cause but excusing the inadvertence or negligence on other grounds. *Al-Sabah v. Agbodjogbe*, 2017 WL 4467495, at *3 (D. Md. Oct. 5, 2017) (recognizing that inadvertence “does not amount to good cause justifying a modification of the scheduling order” but granting leave to do so because there was “no hint of bad faith”); *Lopez v. Burris Logistic Co.*, 2013 WL 5962100, at *3 (D. Conn. Nov. 6, 2013) (noting that negligence in general does not constitute good cause to extend case deadlines but granting leave to do so in “the interests of justice”). These cases suggest that a totality of the circumstances approach is appropriate.

C. Discussion

In its response to the show cause order, Easy Shipping admits that it did not timely file a response to USL's renewed motion for summary judgment, that it should have done so, that it has no excuse for not complying with the filing deadline, but at the same time notes that counsel is a solo practitioner. Respondent's Response to Rule to Show Cause ¶¶ 7-15. It also points out that the renewed motion for summary judgment was substantially similar to the original motion for summary judgment denied by Judge Chintella to which Easy Shipping responded, albeit in an untimely fashion. Respondent's Response to Rule to Show Cause ¶¶ 1-3. Respondent admits that it did not file a brief, findings of fact, appendix, or response to proposed findings of facts, and seeks an extension of five days to do so on the ground that it recently discovered new evidence that is necessary to fully develop the factual record. Respondent's Response to Rule to Show Cause ¶¶ 21-23.

Based on this record, the undersigned finds that good cause has been established to discharge the show cause order the ground that the interests of justice will be served by entering a decision on the merits, there is no evidence that doing so will unduly delay the proceeding or result in prejudice to USL, and there is no evidence that Easy Shipping acted in bad faith.

D. Order

For the foregoing reasons, it is hereby **ORDERED** that the Show Cause Order issued January 8, 2024, against Respondent Easy Shipping Corporation is **DISCHARGED**. Respondent is directed to file its brief, proposed findings of fact, appendix, and response to Complainant's proposed findings of fact by **February 3, 2025**. Respondent's failure to abide by this deadline may result in entry of default judgment against Respondent without further notice.

Mary A. Hervey -S Digitally signed by Mary A.
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Date: 2025.01.30 09:26:35 -05'00'

Mary Apostolakos Hervey
Administrative Law Judge